Difficult Labour Situation Worsened after the Pandemic

As per PLFS 2019–2020 (July-June), the only available official data for the pre-pandemic period, labour force participation rate (LFPR) in India (rural and urban areas combined) was only 38.3 per cent as per current weekly status (CWS), employment ratio or worker population ratio (WPR) 35 per cent and unemployment rate only 3.4 per cent. This report covers the April–June period of the year 2020–21 when the first wave was at its peak. The report does not specifically bring out the impact on the labour situation in this period.

According to CMIE, the unemployment situation worsened drastically following the lockdown in March 2020. In the week ended 29 March 2020, the unemployment rate spiralled to 23.8 per cent. As the lockdown was rolled back over the next few months, the unemployment rate returned to a more normal level of 7 per cent by September 2020. LPR declined from 41.9 per cent in March 2020 to 35.6 per cent in April 2020; it was 42.7 per cent in 2019–20. LPR also recovered to rise to 40.5 per cent in July 2020, but still remained uncomfortably low at about 40 per cent in September 2020.

The ILO-modelled database, using the international definition, informs us that LPR in India has declined from 58.4 per cent in 1990 to a little over 49 per cent in 2020. Female LPR declined sharply from about 30 per cent in 1990 and 32 per cent in 2005 to a little over 20 per cent in 2020.

Proportion of Wage and Salaried Workers Also Low, Affirming Large-Scale Informality of the Economy

ILO classifies workers in four broad categories: wage and salaried workers; own account workers; contributing family workers; and employers. Own account workers are self-employed people who are not paid by any employer and who also do not employ any paid workers. They mostly work